

with their efficiency rising and falling in opposition to levels of human emotions. Markets are more or less efficient, except when they are not.^{[344](#)}

Most investors do not know they don't know

Listen to any explanation of market behavior; they are filled with hindsight bias and rationalizations. It is rare to hear someone answer a question about markets and not give a detailed after-the-fact narrative. Few are willing to say, “I don’t know,” or “It’s essentially random.”

Spock, however, is far along the Dunning-Kruger curve (more on this next section). He often notes his lack of understanding with a simple, “Fascinating.” His logic and ego control allows the admission of not knowing. Investors often get into trouble when they imagine they have an understanding of things they do not. They are much further back on the DK curve.

Spock’s mixed human-Vulcan heritage was a great plot device that allowed *Star Trek* to subtly comment on human nature (as well as the Cold War). Long before Amos Tversky and Danny Kahneman started their research into human decision-making, this metaphor of Vulcan duality was an observation of the battle between logic and emotion, between our intellectual capacity and our baser motives.

Investors who understand what the Spock market^{[345](#)} is will better recognize the impact of their own behavior on their portfolios.



Is there a more abused word in market commentary than “uncertainty?” If we understood what the word actually means, we wouldn’t be so easily fooled by its misuse. Let’s take a closer look.

^{[340](#)} Spock also served as a Captain, Admiral in Starfleet, and Federation ambassador.

^{[341](#)} Due to this mixed-species heritage Spock had to be removed from Amanda’s body and raised in a test tube for two months, during which time Vulcan scientists made subtle chemical adjustments to the fetus to ensure its survival. The fetus was returned to Amanda’s body to